GMS WEEKLY

Your Source for Recycling News

November 25th, 2022
Volume 244, Issue 1058
Week 47

Highlights:

- **No impact.**
- **Cape sold.**
- **Bangla out.**
- **Supply low.**
- **Uncertain realities.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

**"Get a good idea and stay with it.
Dog it, and work at it until it's done right."**

– Walt Disney

MARKET COMMENTARY

DUTIES REDUCED, PRICES DOWN!

After the announcement by the Indian government that they would reduce export duties on iron ore and steel products, the Alang market surged by Rs. 4,000 (about USD 49) in a single day, only to come crashing down in subsequent days to the tune of USD 50/Ton by the time the weekend had arrived.

In the midst of this surge, there was one Capesize Bulker sold for HKC / strictly green recycling into India, and it is hoped that some stability on prices will be found in the week(s) ahead.

Notwithstanding, sub-continent steel plate prices have plummeted greatly this week (especially in India and Bangladesh), further adding to the ongoing stresses that have become routine in the sub-continent markets.

Bangladesh remains on the sidelines with no new L/Cs being issued by the Central Bank and only a handful of private banks / local Buyers able to open L/Cs on (primarily) small(er) LDT units.

It remains a very cautious and tentative market across the board, with most Ship recyclers deeply embedded in a wait-and-watch mode, expecting prices to fall below USD 500/LDT and currently reluctant to dip into the market on fresh purchases until a some sort of a sustained period of stability is witnessed.

Mercifully, the supply of tonnage remains low, despite dry bulk and container rates having cooled off considerably in the fourth quarter of this year. Owners have made decent money on their trading vessels this year and it seems they would rather hold and continue trading at these lower rates, rather than face the uncertain recycling realities of today.

As such, it is not expected to be a frantic end to the year across sub-continent markets, but rather a trickle of candidates may arrive to the few keen and capable recyclers who are open to acquire ahead of an anticipated busier 2023.

For week 47 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Weak	515 / LDT	525 / LDT	535 / LDT
2	Pakistan	Weak	510 / LDT	520 / LDT	530 / LDT
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Subject L/C approval*

BANGLADESH

HANDCUFFED!

Inert.

Bangladesh remains largely inert with domestic Recyclers unable to acquire any fresh units, due to ongoing L/C restrictions imposed by the Central Bank, and End Buyers are compelled into a silence, handcuffed by their inability to acquire and spend U.S. Dollars.

Port reports are virtually empty as Chattogram Recyclers realise they are going to lose out on a majority of the market tonnage, to competing recycling destinations and as such, they are maintaining a quieter profile.

No sense talking.

Volatility of domestic fundamentals aren't being too supportive of the local mindset either, as the Bangladeshi Taka firmed nearly 6% this week, improving from BDT 106 to just over BDT 101, while local steel plate prices fell by USD 30/Ton.

Notwithstanding, until the economic / LC situation in Bangladesh stabilises, there is very little sense in talking new purchases with end buyers since most are unable to perform and the very few who can open an L/C are just throwing silly, well below market opportunistic numbers.

NO MARKET SALES REPORTED

INDIA

TURBULENT!

India has endured a largely turbulent and rollercoaster week, with the announcement of a reduction in steel and iron duties by the government (initially introduced in April of this year) seeing steel prices reportedly shoot up by Rs. 4,000 rupees in a single day, only to see the remainder of the week beset by daily dramatic falls to wipe out those gains.

Duties reduced.

In fact, by the time the week ended, local steel plate prices actually declined by USD 51/Ton overall, while the INR continues to trade in the high Rs. 81 against the U.S. Dollar – leaving this market devoid of much tonnage.

As such, there has been very little material change in prices and sentiments despite this encouraging news on duties.

Cape sold for HKC.

On the sales front, one overly bullish Cash Buyer has speculated on the news on steel duties by purchasing Berge Bulk's Capesize bulker for strictly HKC recycling, as the BERGE APO (20,668 LDT) managed to fetch a decent USD 523/LT LDT.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
BERGE APO	Bulker	20,668	USD 523/LT LDT for HKC recycling only

PAKISTAN

SIDELINED!

Absent from buying.

Pakistan has largely remained on the sidelines for another week, watching on as local steel prices first rose then collapsed in India, and even observing a muted Bangladesh that is unable to acquire any fresh vessels.

There isn't a large number of prospective units to work on for an increasingly hungry set of End Buyers, but since they hope to position levels well below market realities, they are unlikely to secure vessels any time soon.

HKC needs.

Ensuring this, are shaky fundamentals and weakening prices from competing neighbors that will only encourage Gadani Recyclers to offer low. Steel plates fell by about USD 10/Ton and the currency remains in the PKR 223 region against the U.S. Dollar – certainly one of the record lows.

Furthermore, with vessels now being sold for HKC recycling only (including another Capesize bulker this week to India), unless end buyers significantly upgrade their yards with class approved HKC certification, then they may miss out again on the majority of vessels sold next year and beyond.

NO MARKET SALES REPORTED

TURKEY

UNCHANGED!

Marginal improvement in import steel (to the tune of USD 10/MT), currency that is languishing in the TRY 18.6X against the U.S. Dollar, uncertainty with the conflict in the Black Sea, and primarily HKC based EUSRR Recycling candidates being welcomed at any offer level, the Turkish market has all but disappeared from the bidding tables.

Disappeared.

Overall, it as been a quiet week and is expected to remain a quiet end to the year for Aliaga.

Quiet end.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The MGM lion roar is trademarked. At the start of any movie made by the Metro-Goldwyn-Mayer studio, the iconic lion roars at the audience. While MGM has gone through several iterations of lion mascots, the sound of the roar is always the same. The company trademarked the "sound mark" with the United States Patent and Trademark Office in the 1980s.*
- *Neil Armstrong's hair was sold in 2004 for $3,000. The lucky buyer, John Reznikoff, holds the Guinness World Record for the largest collection of hair from historical celebrities, reports NBC. But Armstrong's lawyers threatened to sue Marx Sizemore, the not-so-lucky barber who cut the former astronaut's hair; they said he violated an Ohio law that protects the rights of famous people. Sizemore said he wouldn't pay, and Reznikoff said he wouldn't give back the hair but that he'd donate $3,000 to charity.*
- *Irish bars used to be closed on Saint Patrick's Day. You might associate Saint Patrick's Day with wearing green and drinking so much you think you actually see leprechauns. But until 1961, there were laws in Ireland that banned bars from opening on March 17. Since the holiday falls during the period of Lent in the heavily Catholic country, the idea of binge-drinking seemed a bit immoral.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas	November 22 – November 29 December 05 – December 13 December 2- December 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 - Victory Day December 25 – Christmas December 31 – Bank Holiday	December 06 – December 09 December 23 – December 26

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December	December 25 – Quaid-e-Azam Day	**No holidays in December**

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ALANG - Port Position as of November 25, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Arius	22,728	Passenger Vessel	Arrived November 23
2	Gem	22,372	Passenger Vessel	Arrived November 22
3	*Izhora*	*1,625*	*Dredger*	*Beached November 22*
4	*LS 2*	*18,597*	*Crane Ship*	*Beached November 22*
5	*Tampen*	*2,882*	*Supply Vessel*	*Beached November 25*
6	*Venturer*	*477*	*Supply Vessel*	*Beached November 24*
Total Tonnage		**68,681**		

CHATTOGRAM - Port Position as of November 25, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
3	*Nigado*	*632*	*Fishing Support Vessel*	*Beached November 25*
4	Shintanegashima	1,525	RoRo / Cargo	Arrived November 23
5	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**35,689**		

GADANI - Port Position as of November 25, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported		
Total Tonnage		**-**		

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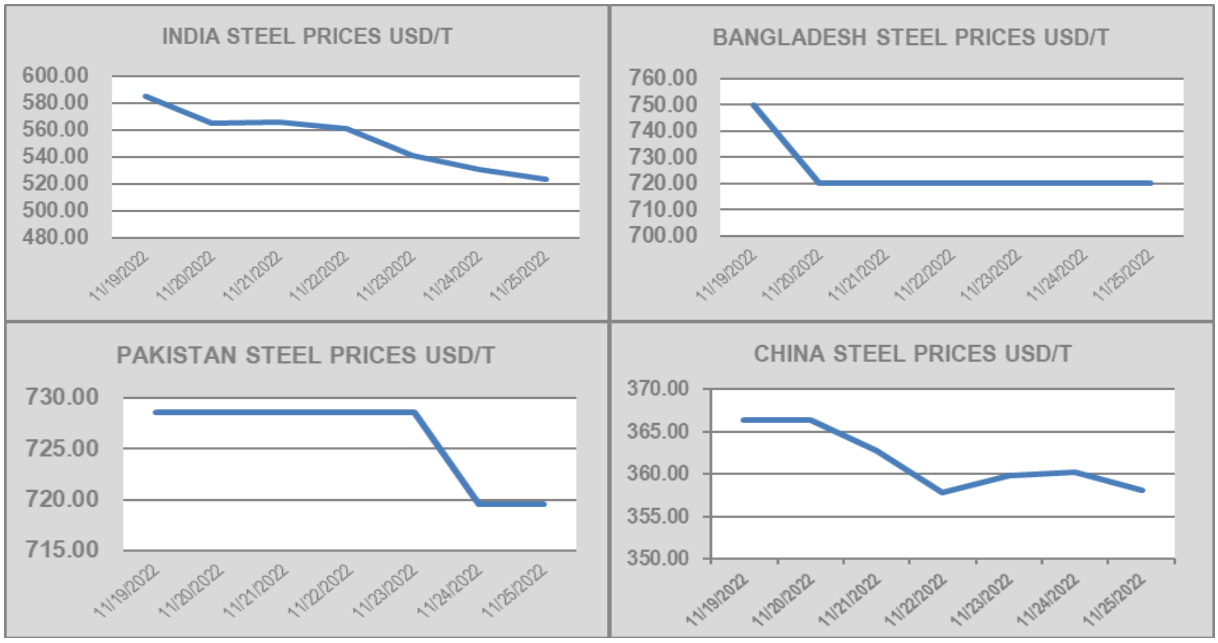
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
11/19/2022	585.21	47,800.00	728.58	162,000.00	750.00	75,000.00	366.43
11/20/2022	565.32	46,300.00	728.58	162,000.00	720.00	72,000.00	366.43
11/21/2022	565.74	46,300.00	728.58	162,000.00	720.00	72,000.00	362.78
11/22/2022	560.86	45,800.00	728.58	162,000.00	720.00	72,000.00	357.91
11/23/2022	541.23	44,300.00	728.58	162,000.00	720.00	72,000.00	359.84
11/24/2022	530.44	43,300.00	719.59	160,000.00	720.00	72,000.00	360.25
11/25/2022	524.00	42,800.00	719.59	160,000.00	720.00	72,000.00	358.15



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